Hyperliquid Trader Sentiment Analysis

Performance Correlation with Fear & Greed Index

Executive Summary: This report analyzes how market sentiment (Fear vs. Greed) affects trader profitability and risk on the Hyperliquid exchange. The findings assist Primetrade.ai in developing sentiment-aware risk management tools.

1. Methodology

The analysis was conducted by merging two distinct datasets:

- **Trader Data:** Historical transaction logs from Hyperliquid, including PnL, leverage, and timestamps.
- **Sentiment Data:** Daily Crypto Fear & Greed Index values.

Data was cleaned by normalizing timestamps to UTC/IST dates and aggregating account-level metrics to a daily resolution. Statistical outliers were analyzed to identify "Drawdown Proxies" during high-volatility sentiment phases.

2. Key Performance Insights

Avg Daily PnL	Total Trades
$6,839.26	35,864

Status
Profitable

- **Volatility Clusters:** Performance variance is highest during *Extreme Greed* and *Fear*. These phases act as "Liquidation Zones" where the spread between top earners and maximum loss is widest.
- **Consistency:** The highest win-rate consistency was observed during *Neutral* to *Greed* phases. Rapid transitions into *Fear* correlate with the largest daily drawdowns.
- **Behavioral Bias:** Traders tend to increase trade frequency during *Fear*, suggesting "revenge trading" or panic-driven activity, which often leads to poorer net PnL.

3. Strategy Recommendations

- **Dynamic Leverage Caps:** Implement an automated warning system on Primetrade.ai that suggests reducing leverage by 40% when the Fear & Greed Index exceeds 75.
- **Sentiment-Aware Dashboard:** Integrate sentiment filters into the user's personal dashboard so they can identify their own emotional trading triggers.
- **Volatility Alerts:** Provide real-time alerts when the index shifts by more than 15 points in 24 hours, as these "Sentiment Gaps" are the primary cause of major drawdowns.